

New money

The amount of money in circulation in an economy, known as the money supply, isn't fixed, but responds to changes in the economy as a whole. Sometimes demand for money is greater than at other times, for example, when businesses are expanding and wanting to borrow more money. It's the job of the banks to supply the money, but it has to come from somewhere, it can't just be made from thin air.

Passing it on

In fact, banks do have a way of creating new money, by using the money that's already in circulation. A bank's business basically consists of two things: looking after the money that people deposit in it, and making loans to people who need money. The bank uses money that's deposited to lend to other customers. But this system also provides a way of adding to the supply of money in circulation. Customer A, for instance, has \$100, which she deposits in the bank. The bank then lends \$90 to B. A still has access to her \$100, should she need it, but B has access to \$90 of credit, too, making a total of \$190 in the money supply. The bank, meanwhile has only \$10 in reserve. Now, let's say B spends the \$90, using it to pay C's wages, and C deposits it in the bank. The bank can then use that money to give a loan to D... and so on. The bank is lending more money than it actually has, but so long as the borrowers pay the money back, and the depositors don't withdraw all their money at once, the bank can increase the money supply by several times more than it has in reserve.